



Source: Local News; Protests in Indiana against datacenters

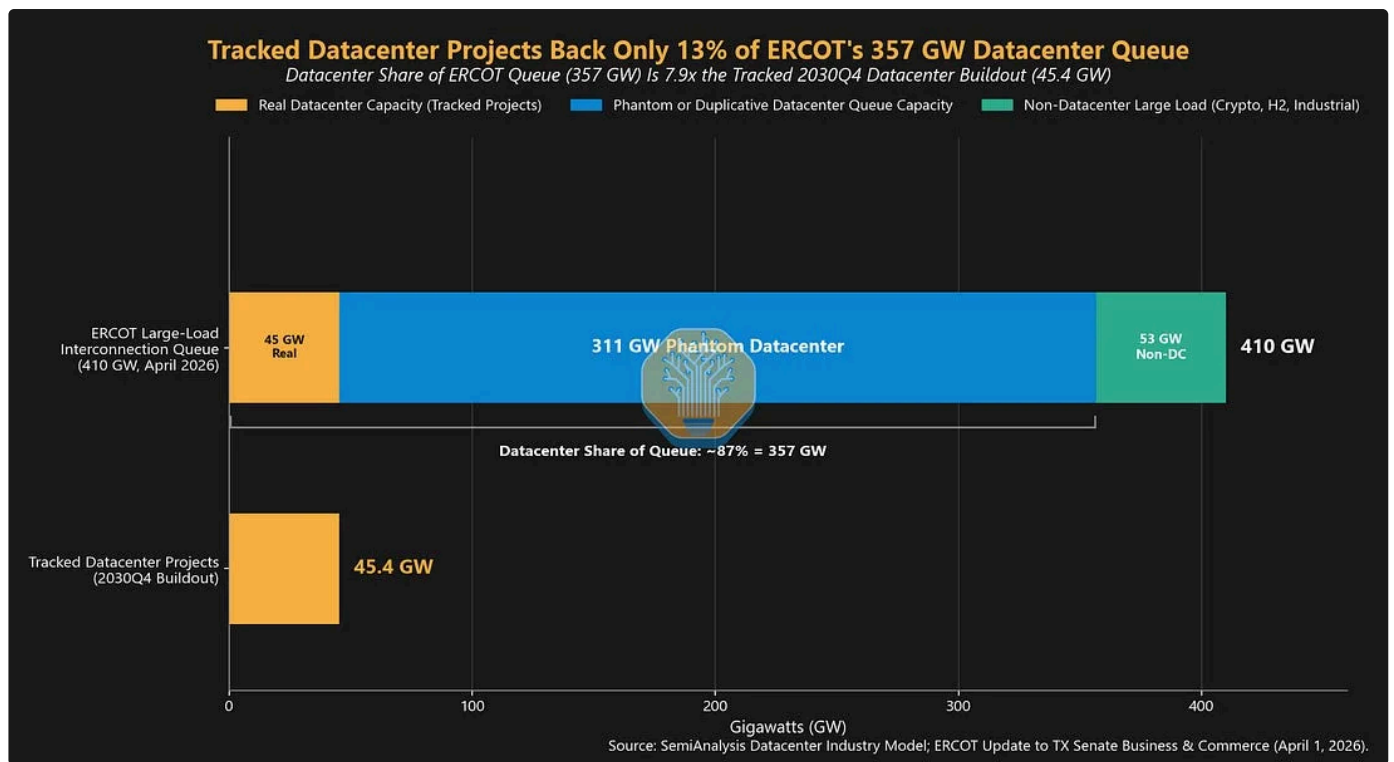
Not-In-My-Back-Yard (NIMBY)

NIMBYism can be very impactful, as seen with the STACK/Oracle example. The distinction is that opposition slowing a real, capitalized, underway project is rare, and opposition killing a speculative rezoning that existed only on paper is common. The Compass withdrawal in Prince William County, the rejected rezonings in Georgia, the pulled proposals across 20+ states: nearly all of it sits in the announcement layer, where the projects had no equipment ordered, no interconnection agreement, and no 2026 delivery to lose.

Unfounded Announcements

The third bucket is the announcements themselves like we showed above. Most pipeline estimates, including the ones underlying the “half of 2026 capacity will be delayed or canceled” framing, rely on announcement-stage data: a press release, a real-estate filing, sometimes a non-binding LOI, none of which is binding in any meaningful sense.

ERCOT is the cleanest illustration of how this can pile up. As of April 2026, ERCOT was assessing more than 410GW of large-load interconnection requests, over 87% of them from datacenters. Texas’s all-time peak demand is about 85 GW, so the queue is nearly five times the size of the grid itself. However, tracking the veritable projects as we do, there’s 311GW of Phantom Datacenter demand.

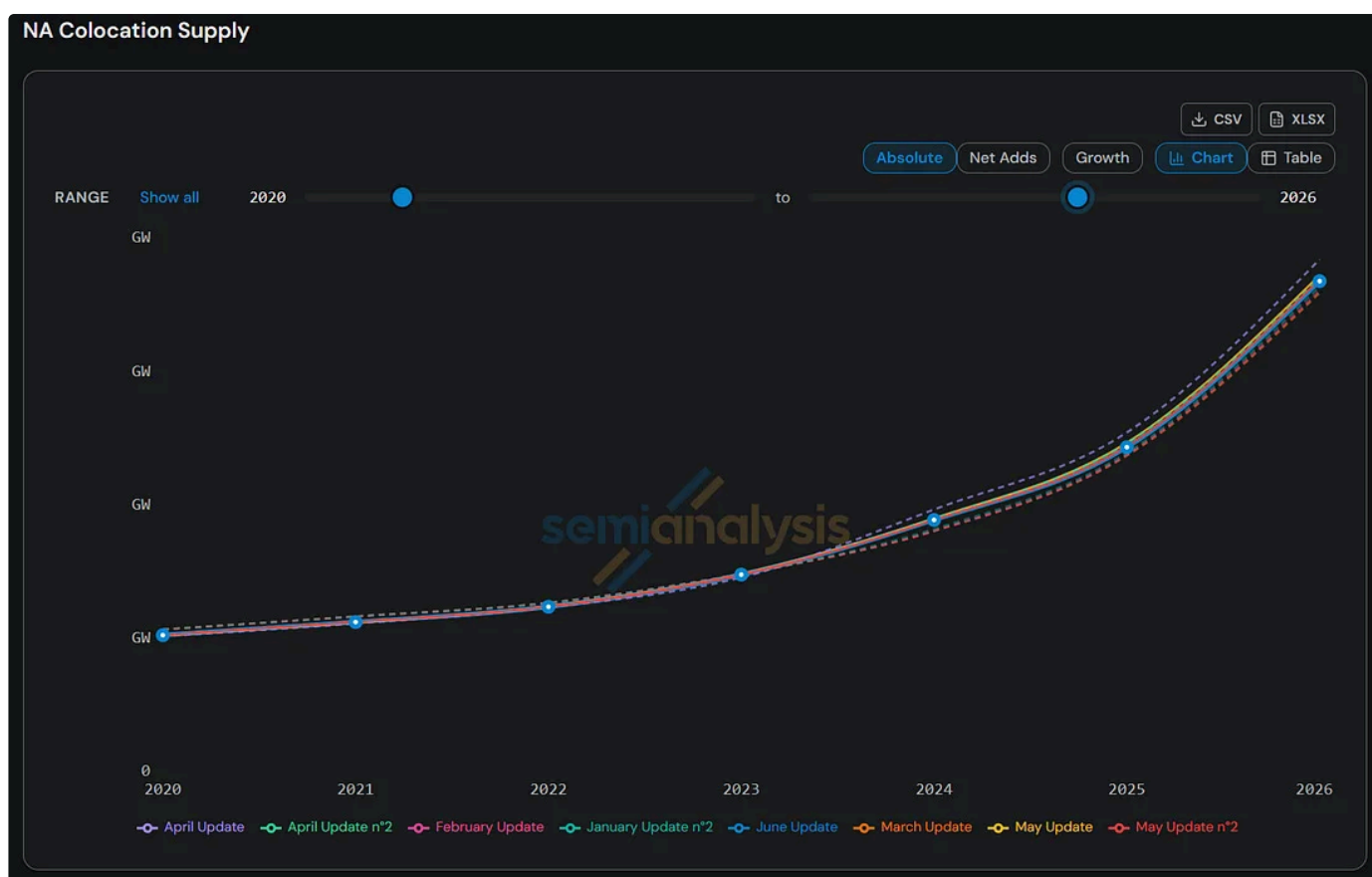


When Texas Senate Bill 6 introduced a real filter (site control documentation, a \$100,000 minimum study fee, mandatory curtailment terms), speculative filings started to slow down, exactly as a sorting mechanism should work. When the press reports that a meaningful share of the pipeline has been “delayed or canceled,” much of what is actually being canceled are megawatts that never had the site control, the financing, or the interconnection work to clear those gates in the first place.

All three of these generate fear in headlines and roughly nothing in delivered 2026 megawatts. They concentrate in the early stage layer we already treat as structurally oversupplied, they were in our numbers long before they reached financial media, and that is why our estimates have not moved.

Why Hasn't Our 2026 Outlook Moved?

We have walked through the constraints above and continue to track them closely. The question worth answering is why our 2026 outlook holds despite the headlines.

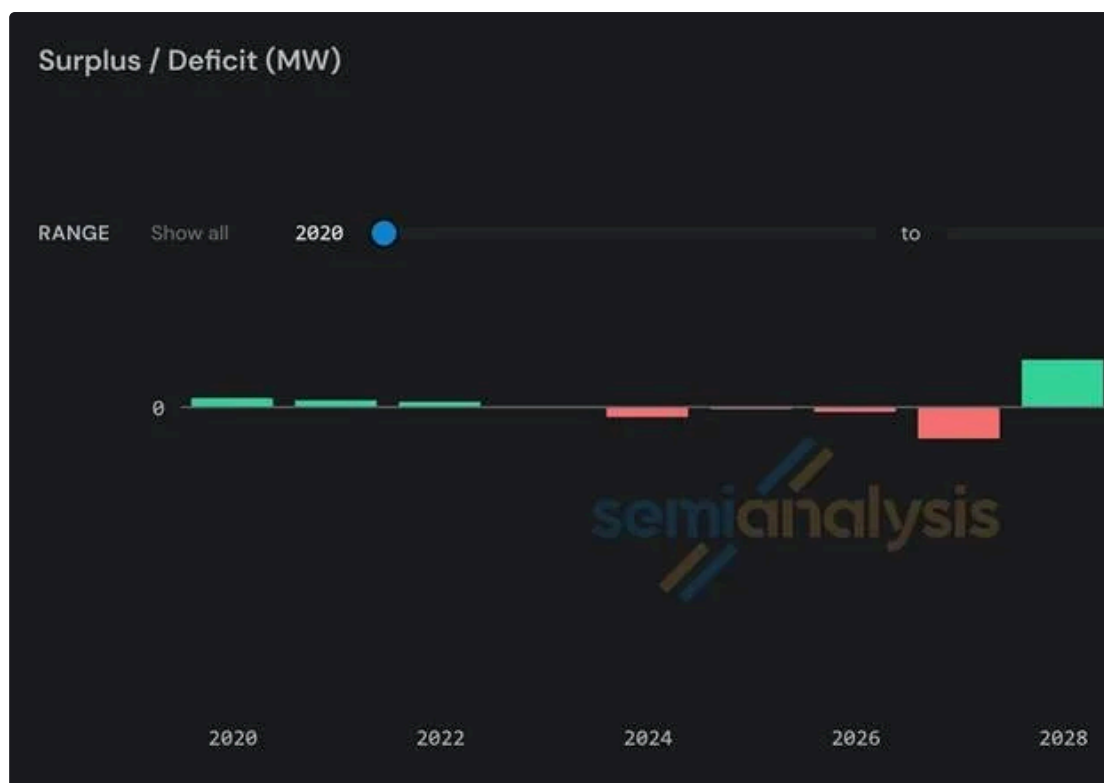


Source: SemiAnalysis Datacenter Industry Model; NA Colocation Supply revisions from past 6 months

The short version is that the cancellations and delays cluster in a layer of the pipeline we already treat as structurally oversupplied. The veritable 2026 projects, meaning the ones with site control, equipment on order, interconnection agreements signed, and/or vertical construction underway, continue to progress on schedule. Hyperscalers, whether its self-build or colocation tenancies, are routing around the constraints in ways that announcement-stage tracking does not pick up.

Early Stage Projects Are Structurally Oversupplied

The bulk of project cancellations occur at the earliest stages of development, before projects have cleared the hurdles required to move toward execution. These are typically announcements rather than fully formed developments, projects that lack critical elements such as permitting approvals, committed tenants, vertical construction progress, or secured grid interconnection. In our Datacenter Model, this segment of the pipeline is intentionally treated as structurally oversupplied, seen later in 2028.



Source: SemiAnalysis Datacenter Industry Model

The volume of announced capacity at the early stage exceeds what can realistically be delivered, and we view that imbalance as a normal feature of the market. It reflects the asymmetry between low barriers to announcing projects and real constraints on building them. A project generally begins to move beyond this higher-risk phase once it has secured at least two, but preferably three, of the following:

- **Secured land:** completed acquisition, a signed purchase agreement, a long-term ground lease, an exclusivity agreement, or affiliate/shell entity control.
- **A defined power solution:** grid interconnection or onsite generation procurement.
- **Approved permits:** construction approvals and, where relevant, air permits for onsite generation.

Ordering long lead time equipment is also crucial, and that requires deposits and capital.

Leading Operators Are Adept At Navigating All Constraints

Hyperscalers and leading operators know how to operate in these markets. Land banking multiple locations is the baseline move, but development happens via two parallel playbooks: one political, one physical.

The political playbook: permitting and community

The political playbook is really about permits and zoning. Operators with years of history in a place know who to call and what they need to file. They have the local land-use lawyers on retainer, working relationships with the utility VPs and economic-development staff who keep the project moving, and a

track record of having delivered prior projects. Those relationships are maintained through ongoing community investment, from PILOT structures and operator-branded workforce programs to capital infrastructure that doubles as public utility, like the \$31M Microsoft put into the Quincy Water Reuse Utility before leasing it back to the city for \$10 a year. By the time the public hearing rolls around, the developer has heard every concern before and knows how to sell the project around them.

When the political playbook alone is not enough, the project rarely dies. Developers increasingly withdraw proposals ahead of a formal vote rather than hand opposition groups a public rejection that other counties can cite, then relocate to a friendlier jurisdiction, refile a modified design, or shift to brownfield and unincorporated land where the approval steps are fewer. There's plenty of times hyperscalers don't progress with sites, not just the ones that are publicly canceled. The site still dies, but it dies quietly, and the project moves somewhere else. Hence the many landbanks.